QUICKMART PLC | INDEPENDENT DCF VALUATION

Illustrative research model • 12 October 2026 • KES billions unless stated

Scope and status. This is a reproducible, independently assumed six-year DCF using the company's FY2027 forecast as the starting point. It is not a final investment price target. Valuation is at end-2026 for comparability with full-year 2027–2032 cash flows; as-of-October 2026 stub-period adjustments have not been made.

1. Forecast and FCFF construction

FY	Revenue	EBIT	Capex	Post-IFRS FCFF	Pre-lease FCFF
2027	67.44	5.57	1.80	4.29	2.49
2028	75.53	6.19	2.00	4.69	2.81
2029	83.08	6.73	2.15	5.10	3.12
2030	90.14	7.21	2.20	5.56	3.48
2031	96.45	7.62	2.20	6.01	3.83
2032	102.24	7.97	2.20	6.43	4.13

Post-IFRS 16 FCFF = EBIT × (1–30% tax) + PPE/intangible D&A + right-of-use depreciation – capex – change in operating NWC. FY2027 reported EBIT KES 5.571bn, PPE/intangible D&A KES 0.983bn, ROU depreciation KES 1.206bn and capex KES 1.8bn derive from the IM; FY2027 NWC change is set to zero as an analyst placeholder. FY2028–2032 revenue growth, EBIT margins, capex and NWC are independent analyst assumptions.

2. Enterprise-value sensitivity: WACC × terminal growth

WACC / g	2%	3%	4%	5%
13%	49.39	52.56	56.43	61.28
15%	41.38	43.42	45.84	48.75
17%	35.53	36.92	38.53	40.41
19%	31.08	32.07	33.19	34.47
21%	27.58	28.30	29.11	30.03

Terminal value = FY2032 FCFF × (1+g)/(WACC–g); six annual year-end discount periods. The assumed WACC range (13%–21%) and terminal growth range (2%–5%) are illustrative and have not been independently market-calibrated. Terminal growth below WACC in every scenario.

3. Enterprise-to-equity bridge (17% WACC, 3% g)

Item	KES bn / KES per share
PV FY2027–32 FCFF	18.49
PV terminal value	18.43
Enterprise value	36.92
Less: net debt incl. lease liabilities (30 Jun 2026)	(7.27)

Item	KES bn / KES per share
Equity value	29.65
Equity value / 4bn shares	KES 7.41
Versus IPO price KES 7.50	-1.2%

4. Equity/share sensitivity: WACC × terminal growth

WACC / g	2%	3%	4%	5%
13%	10.53	11.32	12.29	13.50
15%	8.53	9.04	9.64	10.37
17%	7.06	7.41	7.82	8.29
19%	5.95	6.20	6.48	6.80
21%	5.08	5.26	5.46	5.69

5. Separate pre-lease economic cash-flow cross-check

An alternative method expenses cash lease rentals in operating cash flows, excludes right-of-use depreciation from operating D&A and excludes lease liabilities from net debt. Algebraically: pre-lease FCFF = post-IFRS FCFF – tax × ROU depreciation – (1–tax) × cash rent. This assumes lease cash rent is deductible for tax and uses the same discount rate as an approximation; a rigorous lease-adjusted WACC may differ.

Metric	Post IFRS16	Pre-lease cross-check
Enterprise value	36.92	23.20
Net debt deducted	7.27	-0.03
Equity value	29.65	23.22
KES/share	7.41	5.81
Difference in value/share	—	-1.61

Critical reconciliation limitation. Total net debt of KES 7.273bn is disclosed in the IPO IM. The model uses a provisional KES 7.30bn lease liability allocation and KES 2.05bn FY2027 lease cash rent proxy (5% annual growth), which are **analyst placeholders, not verified June 2026 lease schedules**. Consequently, any difference between the two valuation methods is a diagnostic discrepancy, not proof of mispricing. A lease maturity schedule, lease additions, modifications, interest and actual contractual cash rentals are needed to reconcile them precisely.

6. Decision-usefulness and controls

The model separates source-based FY2027 information from independently assumed FY2028–2032 growth, margin, tax, capex, working-capital and discount rates. The post-IFRS approach includes ROU depreciation in FCFF and deducts lease-inclusive net debt once; the pre-lease method charges cash rents and excludes the assumed lease liability once. Neither double-counts lease principal as a financing cash outflow in enterprise FCFF.

This analysis should not supersede the WATCH / DEFER conclusion until (i) WACC is built from current Kenya government yields, a defensible beta and risk premia, (ii) a complete lease roll-forward is obtained, (iii) store-level capex/returns and supplier-credit durability are validated, and (iv) the October 2026 stub period is modelled.

Sources: Quick Mart PLC Information Memorandum dated 2 October 2026, pp. 29–30 (IPO, equity value, net debt), pp. 117–124 (historical performance, cash conversion), pp. 135–137 (FY2026–27 forecast, capex, store growth); FY2025 audited statements; EY Reporting Accountant’s Report dated 29 September 2026. All 2028–32 forecasts, WACC, terminal growth and lease allocation/rent proxies are analyst assumptions.